註冊財務策劃師及策略師協會

Society of Registered Financial Planners & Strategists

# "HONG KONG UNDERGRADUATE FINANCIAL PLANNERS AND STRATEGISTS OF THE YEAR AWARD 2026"

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## Final Round Topic

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# Beyond Green Labels: Integrating Sustainable Finance and Green Finance into Financial Planning — Financing the Transition, Pricing Climate Risk and Measuring Real Impact

## Background

In Hong Kong, sustainable finance and green finance are no longer niche product categories. They now shape the cost of capital, the terms of a mortgage, the disclosure obligations of a competitor, the due diligence of an overseas buyer and the risk profile of a retirement portfolio. A planner who cannot structure, price, allocate and evidence sustainable finance is planning with an incomplete set of prices.

The planner's task is therefore not to sell green products but to make sustainability legible in financial terms: to show which sustainability decisions change a client's cash flow, balance sheet, risk profile or estate, by how much, over what horizon, and on what evidence. That is a planning discipline before it is an investment theme.

Hong Kong now provides much of the plumbing: the Hong Kong Taxonomy for Sustainable Finance (Phase 1 in 2024; Phase 2A in 2026, adding transition and adaptation activities), the HKMA's Sustainable Finance Action Agenda, ISSB-aligned climate disclosure under the Listing Rules, the SFC's guidance on ESG fund disclosure, the Green and Sustainable Finance Grant Scheme and HKEX's Core Climate. Plumbing, however, does not tell a client what to do. That remains the planner's job.

## Your Task

You have ten minutes to present a decision-ready sustainable finance framework, followed by ten minutes of questions from the panel. Demonstrate the framework on one representative Hong Kong client. Define the client's circumstances and every figure yourself, state your assumptions, and show how the framework changes the advice you would otherwise give. Address the six areas below.

### 1. Sustainable Finance as a Planning Discipline, Not a Product Category

- Distinguish **green finance** (use of proceeds), **sustainability-linked finance** (KPI-linked pricing), **transition finance** (decarbonising existing assets), **impact investing** and **ESG integration** — and say where each belongs in the client's plan.
- Build a sustainability profile for the client and, where relevant, other decision-makers in the household or business: values intensity, return requirement, liquidity, time horizon, and tolerance for tracking error, illiquidity and complexity.
- Convert values into a mandate — what the client will and will not accept, how it is recorded in the investment policy statement, and how disagreement between decision-makers is resolved.
- Quantify the **price of values**: the return, diversification or liquidity the client is prepared to give up, and the evidence that it need not give up much.

### 2. Financing the Transition: From Abatement Projects to Bankable Structures

- Establish a credible baseline — Scope 1, 2 and 3 emissions, customer and border-tax requirements, an energy audit — and rank abatement projects on a marginal abatement cost curve.
- Select and structure the instrument: green loan, sustainability-linked loan with a KPI-linked margin ratchet, transition finance, green lease or supply-chain finance; compare tenor, covenants, verification cost and the Grant Scheme subsidy.

- Test bankability: debt service coverage, collateral, offtake, and customer willingness to pay for low-carbon products. Separate the **greenium** (pricing advantage) from the **green premium** (the extra capital cost of a lower-carbon option).
- Link the transition plan to enterprise value, buyer due diligence, succession timing and the owner's retirement date.

### 3. Portfolio Integration: Allocating Capital with Evidence

- Set and justify the sustainability allocation: the share of investable assets, the instrument mix (green and sustainability-linked bonds, ESG and transition funds, thematic equities, green deposits, impact vehicles), the currency and the liquidity.
- Be honest about the evidence: the greenium is small and state-dependent, ESG performance varies by sector, index construction and period, and fees and tracking error are real costs.
- Measure what is held: carbon intensity and data coverage, implied temperature rise, taxonomy alignment, avoided emissions and the quality of the underlying data.
- Apply product due diligence and anti-greenwashing tests: fund naming and disclosure, index methodology, engagement policy, and the difference between a label and a financed outcome.

### 4. Real Assets, Property and Climate Resilience

- Evaluate green mortgage and refinancing options, retrofit economics (building fabric, cooling, solar, EV charging) and BEAM Plus certification for the client's home and business premises.
- Assess physical climate risk — typhoon, flooding, heat — and its effect on insurance availability, premiums and mortgage conditions.
- Address stranded-asset and exit risk: when an older, less efficient building becomes a liability rather than a legacy, and how that interacts with the downsizing decision in retirement.
- Explain the split incentive between landlord and tenant, and how lease structure can align them.

### 5. Risk, Regulation and the Greenwashing Defence

- Map the regulatory perimeter that touches the client: the Hong Kong Taxonomy, HKMA climate risk guidance and scenario analysis, ISSB-aligned disclosure, SFC ESG fund rules, the Climate Action Plan 2050 and international regimes such as the EU's Carbon Border Adjustment Mechanism (CBAM).
- Build a risk register covering transition, physical, liability, reputational, liquidity, valuation, data and conduct risk — and show which risks the plan actually mitigates.
- Run at least one scenario (orderly, disorderly or hot-house) and show the financial consequence for the business, the property and the portfolio.
- Design anti-greenwashing controls: baselines, third-party verification or assurance, conservative claims, and a stated policy for restatement.

### 6. Measurement, Engagement and Governance

- Build a one-page dashboard the client can act on: financial outcomes, sustainability outcomes, impact outcomes and implementation milestones.
- Separate attribution from narrative — what the plan changed, what the market did, and what cannot yet be measured.
- Address behavioural bias: present bias, ambiguity aversion, social desirability, loss aversion and mental accounting in how the plan is presented and reviewed.

- Set governance: a sustainability annex to the investment policy statement, decision rights within the client household or business, review triggers, and a philanthropic or legacy allocation that is funded rather than aspirational.

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